



has hit states? By this exercise, revenue of both the Centre and states has taken a hit. Where is the question of compensation? If there is a fiscal requirement, states can approach the Centre.

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But states are expected to bear a larger part of the revenue loss.

The revenue from GST collections is divided equally at 50:50 between the Centre and states. Out of the 50% that the Centre gets, 41% again goes to the states. If states or analysts are saying that they will be impacted more, they are taking into consideration the devolution of funds through Finance Commission. But otherwise, the

hit is same for both the Centre and states.

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One of the key issues for businesses with GST has been the high litigation and notices. Will these reforms reduce this problem?

India was becoming a non-preferred investment destination because of the complexities in the GST laws. There were four rates, and this was leading to many classification and rate disputes, and notices were issued to trade and industry on that count. This was creating uncertainty and instability. With this restructuring, there is no ambiguity in classification. This will provide absolute certainty to businesses about their tax liabilities. Businesses want a simple, stable and transparent tax system for investing in a country.

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One of the concerns from industry is what happens to existing stock and inventories when the rate changes come into effect...

They have already paid taxes on the existing inventory and have taken input tax credit. This ITC will get utilised over time, and then they will again be making the payment on the value addition in cash. **BT**

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hardship for businesses. For instance, several services continue to be taxed at 12% or 18% while the rate on the final product is now 5% or nil. This creates an inverted duty structure and can block profits until refunds are processed. "These measures will be a very good step for ease of doing business in India," he says.

To ensure ease of doing business, the council has taken several trade facilitation measures aimed at correcting the inverted duty structure, ensuring faster refunds, providing options for simplified registration and export liberalisation by scrapping the outdated intermediary rule, as a result of which the place of supply of intermediary services will be changed from the location of the supplier to the location of the recipient. This would help service providers and mitigate litigation around export status.

All these steps are expected to help micro, small and medium enterprises (MSMEs) and exporters navigate the tax system better; the lower rates could also improve their global competitiveness.

India's key export sectors like textiles, handicrafts, leather, wood and paper and toys and sports are expected to benefit from these measures, at least to some extent. Commerce and Industry Minister Piyush Goyal has also expressed hope that the GST cuts will help offset the adverse impact of the US tariffs and create more demand.

Rakesh Nangia, Managing Partner of professional services firm Nangia & Co, notes that for businesses, the shift is transformative. The change untangles long-standing knots such as the inverted duty structure, which often locked up working capital, and frequent classification disputes most evident in automotive and FMCG (fast-moving consumer goods) sectors, he says. "Beyond compliance, the reform delivers something businesses value most, that is, predictability. With greater liquidity and fewer grey zones in tax treatment, companies can sharpen pricing strategies, strengthen supply chains and redirect capital toward expansion," he adds.

For the first time since its inception, the